

Hertz Global Holdings: what the company says about each flag

FY2013 and FY2012 annual reports and Q4 results releases. USD millions, revised basis; first-reported figures shown once where they differ. Readings are judgments, not findings.

Full write-ups

Rental equipment depreciation rate fell (15.2% to 14.3% revised; 15.3% to 14.2% as first reported)

- **The company says:** U.S. per-vehicle depreciation "decreased" due to "mix optimization, improved procurement and remarketing efforts", and the rate cuts were "indicative of the residual values experienced in the U.S." (FY2013 annual report, p. 42). Last year: different, citing "improved residual values in the U.S." (FY2012 annual report, p. 42).
- **Test:** The claim covers U.S. car rental, 2013 against 2012, monthly depreciation per vehicle. The release's U.S. depreciation (\$1,269.7m against \$939.9m) over average U.S. cars (468,500, up 31.2%) gives \$226 against \$219 a month, up 3.0%. Before disposal results (a \$48.2m loss against a \$100.6m gain) it is \$217 against \$243, down 10.5%. The same report blames "a deterioration in the used vehicle residual values" (p. 54) and "declining residual values" (p. 126). The stated rate changes cut whole-company depreciation by a net \$39.6m, 1.6% of the charge and 26% of the \$152m shortfall (23% of pre-tax income; \$175m and 26% as first reported). So the explanation partly holds.
- **Reading:** Possibly the reporting stretched, because rates were cut again in a year when U.S. cars sold at a loss. Losses traced to the acquired Dollar Thrifty fleet or to "timing of sales" (p. 126) would point to ordinary.
- **Read next:** Note 8 (p. 126) against the disposal results by quarter and segment, which these documents do not give.

Payables fell 3.5% while costs rose 19.4% (days payable 52.9 to 42.7; 52.7 as first reported)

- **The company says:** Nothing about the balance. Its only reference is that operating cash flow rose partly "due to the timing of our payments" (FY2013 annual report, p. 64). Last year: the same words (FY2012 annual report, p. 60).
- **Test:** The claim covers the whole company's operating cash flow, 2013 against 2012. The payables, accrued liabilities and accrued taxes lines supplied \$72.9m against \$33.2m, which is \$39.7m or 4.5% of the \$879.9m rise. The balance fell \$35.3m although the cash flow statement shows payables as a \$23.2m source and unpaid fleet and property purchases rose \$62.7m, leaving \$121m (12% of the opening balance) unaccounted for. So the sentence does not hold as an explanation of the balance. The acquisition base suggested earlier partly holds: Dollar Thrifty brought only \$43m of payables (p. 98), but on pro forma 2012 revenue of \$10,197.4m (p. 99) the shortfall is \$92m (14% of pre-tax income) against \$233m at FY12 days (35%; \$226m and 34% as first reported).
- **Reading:** Most likely ordinary, since about 61% of the shortfall is the acquisition base, but the \$121m gap can't be explained from these documents. A reclassification or netting against receivables, which show a similar gap, would settle it either way.
- **Read next:** There is no payables note; the cash flow supplement (p. 81) and the accrued liabilities detail.

Receivables fell 19.5% while revenue rose 19.4% (days sales outstanding 76.2 to 51.3; 76.5 as first reported)

- **The company says:** "a decrease in fleet receivables within our U.S. car rental segment, primarily related to the timing of purchases and sales" (FY2013 annual report, p. 133). There is no receivables note and nothing in the management discussion. Last year: nothing.
- **Test:** The claim covers U.S. car rental fleet receivables between the two year-ends, with no amount, so it can't be tested as stated. The nearest number is whole-company fleet-sale receivables (p. 81), down \$261.3m from \$618.6m to \$357.3m, which is 71% of the \$367.1m fall and 13.9% of opening receivables. The other receivables fell \$121.5m (9.6%), although revenue rose 5.6% even against pro forma 2012 and the cash flow statement shows receivables as a \$34.7m use of cash, leaving about \$110m unreconciled. So the explanation partly holds; the revised shortfall is \$737m, 111% of pre-tax income (\$746m and 113% as first reported).
- **Reading:** Most likely ordinary for the fleet part and can't tell for the rest; the allowance rose from 1.5% to 2.0% of gross receivables, and nothing sold or factored is disclosed. Disclosure of a sale, netting or reclassification of receivables would change the reading of the remaining \$110m.
- **Read next:** Schedule II (p. 158) and the cash flow supplement (p. 81); a breakdown of receivables by type is not in these documents.

The other flags

- **Net income above free cash flow** (gap \$104.7m, 16% of pre-tax income; FY12 gap \$313.7m revised, \$326m as first reported): "earnings growth and improved working capital" (FY2013 release, p. 2). It held: the working-capital line improved \$205.8m, 70% of the company's \$293.6m free cash flow gain. Most likely ordinary, the gap being fleet growth that the company's own measure offsets with \$133.9m of fleet financing.
- **Q4 gross margin fell 3.5 points:** "lower than expected pricing and higher expenses related to carrying extra fleet" (FY2013 release, p. 2); last year's release cited "strong residual values" (p. 3). "Than expected" can't be tested. Against Q4 FY12 it partly holds: U.S. fleet rose 22.4% against transaction days up 16.1%, and U.S. depreciation is 94% of the \$93.0m whole-company rise. But depreciation is only \$37m of the \$90m fall, and the \$53m in direct operating costs is unexplained. Most likely the business weakening in U.S. car rental that quarter.

Adjusted earnings

- Adjusted pre-tax income was \$1,153.2m against \$663.1m reported in FY13 (gap \$490.1m, 74% of reported) and \$892.3m against \$441.4m in FY12 (gap \$450.9m, 102%; \$901.5m against \$450.6m as first reported). Adjusted net income was \$749.6m against \$346.2m, and \$588.9m against \$238.6m.
- Items under "extraordinary, unusual or non-recurring" came to \$283.4m in FY13 and \$239.3m in FY12. Restructuring (\$98.8m, \$49.1m), acquisition costs (\$18.5m, \$163.7m), purchase accounting (\$132.2m, \$109.6m) and debt charges (\$68.4m, \$83.6m) recur in both years and in FY11, making up 65% and 90% of the gaps.

Changes in estimate that lifted income

- Depreciation rate changes on U.S. rental cars cut depreciation by \$44.2m in FY13, \$139.4m in FY12 and \$26.7m in FY11 (FY2013 annual report, pp. 42 and 126). Net of international and equipment changes that is \$39.6m, \$130.1m and \$18.2m, or 6.0%, 29.5% and 6.0% of each year's revised pre-tax income. The FY12 cut is supported by \$100.6m of U.S. disposal gains; the FY13 cut is not supported by the \$48.2m of U.S. disposal losses. No other change is disclosed.
- One inconsistency on the corrected errors: the annual report totals them at "\$46.3 million" (p. 83), the release at "\$47.9 million" (Table 1 note).